

TidyTuesday Week 35

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Contents

1	Weekly Summary	2
2	Date: 2026-08-24	3
2.1	Raw Regression	3
2.2	Detrended Regression	5

1 Weekly Summary

AI-Generated Content

The summary below was written by Claude (Anthropic) from that week's regression outputs and series descriptions. It has not been reviewed or fact-checked by a human, and should be read as an automated, informal recap – not analysis.

Welcome back to the weekly installment of Two Economic Series Enter, No Conclusions Leave. This week was a bit of a quiet one – the machine reached into the FRED grab bag exactly once and pulled out a truly electrifying pairing: "Other Business Receivables Owned by Finance Companies, Flow" versus a "Diffusion Index" for total nonfarm employment. If those two names don't set your heart racing, I don't know what to tell you. One measures money that finance companies are owed, the other is a fancy way of counting how many industries are hiring versus firing. Naturally, the universe demands we ask whether they secretly move together.

The answer, delivered with all the drama of a wet paper towel, is: not really. The raw regression came back with an R-squared of about 0.0065, which in human terms means these two series explain roughly two-thirds of one percent of each other, and a p-value of around 0.10, which is the statistical equivalent of a shrug. Here's the genuinely delightful part, though: this is one of those rare weeks where the detrended version tells basically the same story as the raw one. R-squared stays a majestic 0.0065, the p-value barely budes from 0.096 to 0.098, and the slope hardly moves at all. So on the one hand, this isn't a trend mirage that evaporates the moment we strip out shared drift – what little relationship exists holds up under both setups. On the other hand, what little relationship exists is, technically speaking, almost nothing.

So if you want the glass-half-full read: the tiny, borderline-insignificant nudge we see here is at least an honest tiny nudge, not the usual "both lines went up over 40 years, therefore soulmates" illusion this project loves to expose. The relationship survives detrending precisely because there wasn't much of a relationship for a shared trend to fake in the first place. It's consistent! It's consistently underwhelming! That's arguably the most intellectually respectable thing a spurious-correlation project can produce.

As always, the mandatory reality check: these two series were paired by a random number generator, not by any theory, hunch, or grown adult with a hypothesis. Nobody at any finance company is checking the nonfarm diffusion index before deciding what to do with their receivables, and this write-up is not a claim that they should. Spurious is the house style here, statistical significance is a party trick, and this week the party was very calm. See you next week, when the dice will hopefully produce something that at least has the decency to look impressive before falling apart.

2 Date: 2026-08-24

Series ID: DTBOOXDFBANM

This series is titled Other Business Receivables Owned by Finance Companies, Flow and has a frequency of Monthly. The units are Millions of Dollars, Monthly Rate and the seasonal adjustment is Not Seasonally Adjusted. The observation start date is 1980-07-01 and the observation end date is 2026-05-01. The popularity of this series is 1.

Series ID: SMS000000000000000022

This series is titled Diffusion Indexes, 3-Month Span: Total Nonfarm and has a frequency of Monthly. The units are Index and the seasonal adjustment is Seasonally Adjusted. The observation start date is 1991-01-01 and the observation end date is 2026-07-01. The popularity of this series is 17.

2.1 Raw Regression

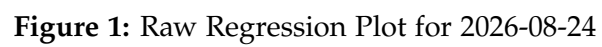
Regresses the two series against each other directly. A significant result here can come just as easily from both series sharing a long-run trend as from any real relationship.

Dep. Variable:	value_fred_SMS000000000000000022	R-squared:	0.007			
Model:	OLS	Adj. R-squared:	0.004			
Method:	Least Squares	F-statistic:	2.780			
Date:	Mon, 24 Aug 2026	Prob (F-statistic):	0.0962			
Time:	12:21:23	Log-Likelihood:	-1980.1			
No. Observations:	425	AIC:	3964.			
Df Residuals:	423	BIC:	3972.			
Df Model:	1					
Covariance Type:	nonrobust					
	coef	std err	t	P> t	[0.025	0.975]
const	76.2916	1.244	61.331	0.000	73.847	78.737
value_fred_DTBOOXDFBANM	0.0009	0.001	1.667	0.096	-0.000	0.002
Omnibus:	115.402	Durbin-Watson:	0.217			
Prob(Omnibus):	0.000	Jarque-Bera (JB):	214.702			
Skew:	-1.569	Prob(JB):	2.39e-47			
Kurtosis:	4.511	Cond. No.	2.40e+03			

Notes:

[1] Standard Errors assume that the covariance matrix of the errors is correctly specified.

[2] The condition number is large, 2.4e+03. This might indicate that there are strong multicollinearity or other numerical problems.



2.2 Detrended Regression

Regresses the residuals of each series after removing its own linear time trend, so a shared trend can no longer drive the result on its own. A relationship that stays significant here is better evidence of a genuine link between the two series.

Dep. Variable:	value_fred_SMS00000000000000022_detrended	R-squared:	0.006
Model:	OLS	Adj. R-squared:	0.004
Method:	Least Squares	F-statistic:	2.758
Date:	Mon, 24 Aug 2026	Prob (F-statistic):	0.0975
Time:	12:21:24	Log-Likelihood:	-1980.1
No. Observations:	425	AIC:	3964.
Df Residuals:	423	BIC:	3972.
Df Model:	1		
Covariance Type:	nonrobust		

	coef	std err	t	P> t	[0.025	0.975]
const	4.49e-14	1.242	3.62e-14	1.000	-2.441	2.441
value_fred_DTBOOXDFBANM_detrended	0.0009	0.001	1.661	0.098	-0.000	0.002

Omnibus:	115.439	Durbin-Watson:	0.217
Prob(Omnibus):	0.000	Jarque-Bera (JB):	214.833
Skew:	-1.569	Prob(JB):	2.24e-47
Kurtosis:	4.513	Cond. No.	2.39e+03

Notes:

[1] Standard Errors assume that the covariance matrix of the errors is correctly specified.

[2] The condition number is large, 2.39e+03. This might indicate that there are strong multicollinearity or other numerical problems.

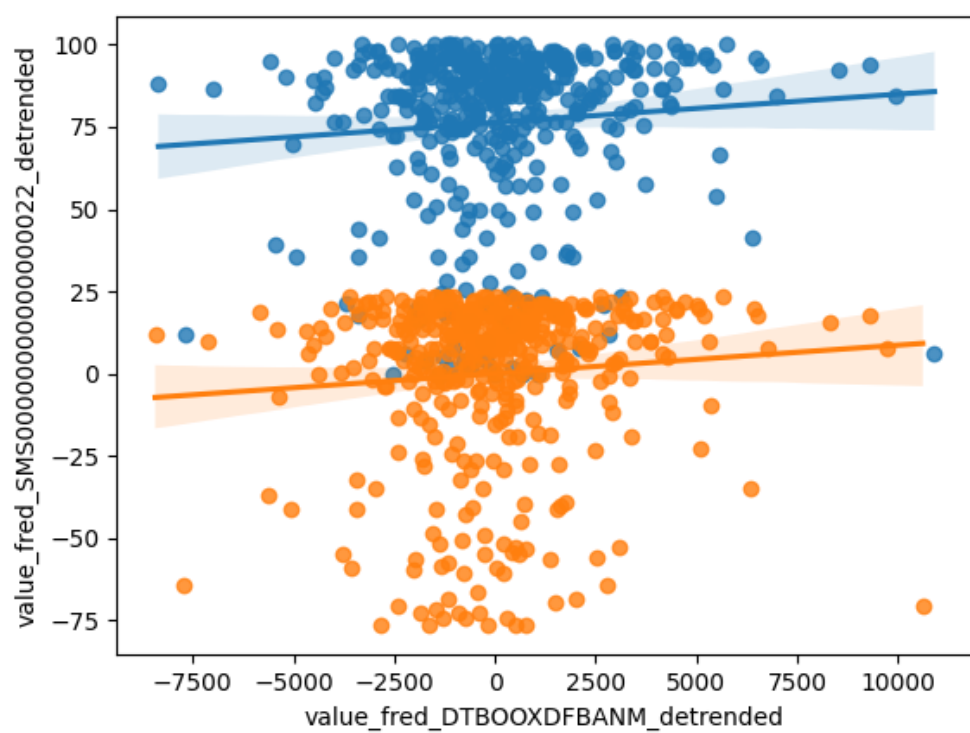


Figure 2: Detrended Regression Plot for 2026-08-24